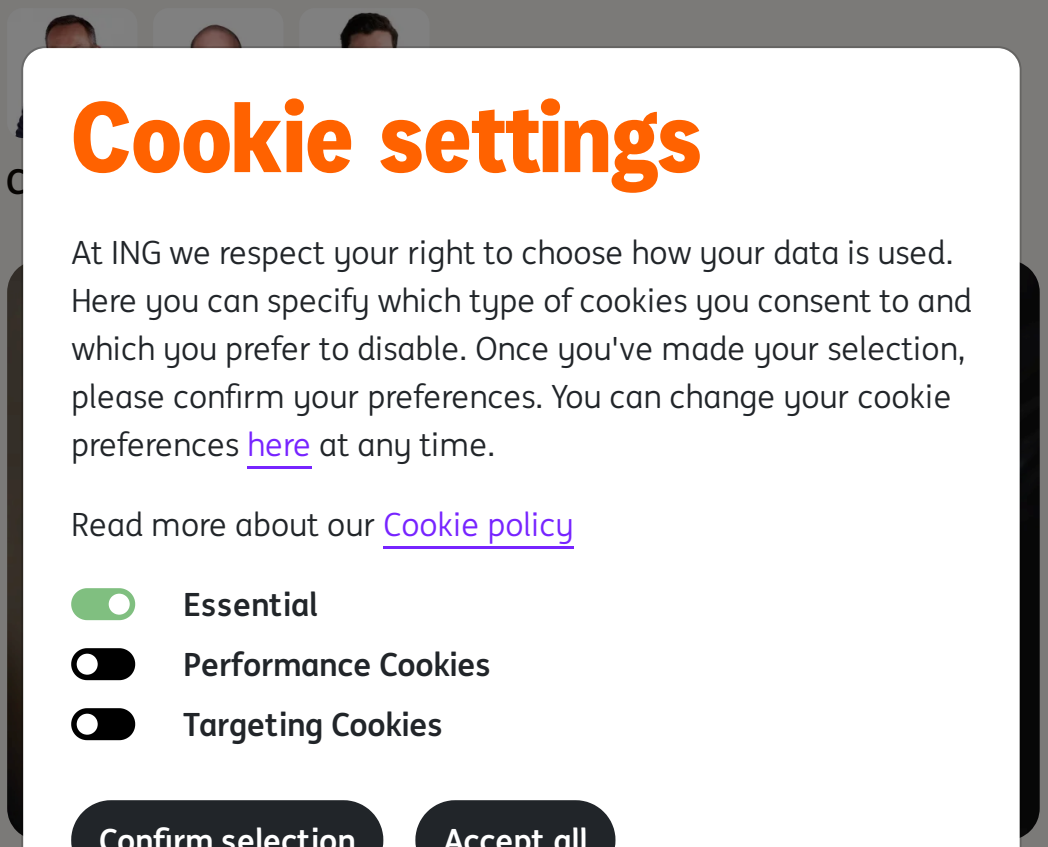
News over the weekend of continued Houthi strikes in Riyadh and a supposed 'energy ceasefire' between Russia and Ukraine have had little meaningful impact on FX markets so far. The dollar remains well bid, and what could be a hot US September CPI this week will keep expectations of Fed tightening and a stronger dollar in play



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USD: Geopolitics to keep the dollar supported

FX markets have been reasonably quiet at the start of the new week, barring a jump in the Indian rupee on some defensive measures instituted by the Reserve Bank of India. Energy prices do not quite know what to make of weekend developments, where Houthi strikes against Saudi Arabia have escalated local tensions, while at the same time US President Donald Trump has tried to present an 'energy ceasefire' between Russia and Ukraine. On the

latter, Russia has yet to respond to the invite and continues to target energy infrastructure in Ukraine.

Instead, FX markets are preferring to concentrate on the cyclical story of decent US growth, above-target inflation and the prospect of the Federal Reserve hiking 75bp from current levels. Barring a big fall in energy prices this week, which seems unlikely, Wednesday's release of September US CPI inflation looks set to keep those Fed tightening expectations broadly intact. Our team see upside risks to the consensus of 0.2% month-on-month on the core reading. And as James Smith discusses in his weekly column, it may not be until next spring when tightening expectations can drop out of money

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French debt spreads remain near their widest, with Marine Le Pen's counter-budget proposal last week raising more questions than it answered. In theory, the French government's budget proposal of €43bn in new savings will be debated in parliament this week. Consensus seems to expect that this will make little progress, but that the government might ultimately be able to pass this budget by decree. Here, protagonists in parliament might avoid trying to bring down the government, which would make the French debt crisis worse than it already is. This is hardly a euro positive, however.

Speculators and the FX options market remain quite bearish on EUR/USD currently, although positioning is starting to get a little stretched. But barring a big US policy misstep, which again questions investors' long dollar exposure, the macro story remains EUR/USD bearish. For the near term, a further dip towards 1.1100/1120 looks more likely.

Chris Turner

CHF: Caught between higher rates and France

EUR/CHF is consolidating after its heavy fall just over a week ago. T
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Chris Turner

CEE: Inflation tests meet global FX headwinds

This week's focus is on regional inflation releases and speakers. Romania's September inflation is due tomorrow; we expect it to rise from 6.2% to 6.4% and, consistent with the central bank's guidance last week, increase further through year-end. In the Czech Republic, final data should confirm September inflation at 2.5%, while Czech National Bank core inflation is likely to edge up from 3.0% to 3.1-

3.2%, above the central bank's forecast. Poland's headline inflation should be confirmed at 4.0% on Wednesday, followed by a likely drop in core inflation from 3.3% to 3.1% on Thursday, giving the National Bank of Poland more room to manoeuvre. Hungary releases wage data on Friday; wage growth remains high relative to the region and continues to pose inflationary risks.

Beyond the data calendar, attention will turn to the IMF meetings in Bangkok, where CEE officials are expected to speak. Hungary may publish next year's draft budget and medium-term fiscal outlook late in the week. Market expectations have moved from around 5.5% towards 5.0%; although this raises the bar for a positive s
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Oil prices are trading weaker this morning despite developments in the Middle East over the weekend. Strong Persian Gulf oil flows and the potential for a Russia-Ukraine energy ceasefire appear to be offsetting some of the latest geopolitical risk

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Energy – Middle distillate cracks trade lower on Trump diesel deal

After a weekend of escalation in the Middle East and the risk of the conflict broadening, one would think oil prices would be trading firmer this morning. However, this is not the case. ICE Brent has been down more than 2% at one stage this morning, despite the Houthis launching a deadly attack on an airport in Riyadh, Saudi Arabia. Clearly, if the target had been energy infrastructure, price action would look a bit different this morning. Still, events show that risks to supply from the region remain, despite oil flows from

the Persian Gulf being at their highest levels since the start of the US-Iran war.

It would appear that the move in oil today is probably less to do with developments in the Middle East and more to do with Russia. US President Donald Trump announced a deal with Russia over the weekend, which will see Russia export 300kt of diesel immediately, followed by 500kt in November and 1mt in December. This will also see the US temporarily easing sanctions on Russian diesel. However, these initial volumes are still some distance away from the roughly 3mt per month that Russia shipped in 2025, according to LSEG data. And so, while it is not going to solve the tightness in t
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elevated.

On the speculative side, managed money continues to trim its net long with ICE Brent trading above $100/bbl. Speculators sold 3,250 lots, leaving them with a net long of 201, 052 lots, which historically is somewhat of a neutral position in the market. From a risk/reward perspective, it is probably not great to put on too much risk from the long side with Brent trading over $100/bbl and the midterms approaching. There is always the very real risk of President Trump surprising markets.

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Agriculture — Bearish WASDE

In its latest monthly WASDE report, the USDA increased its 2026/27 US corn production forecast by 234m bushels to 16.03bn bushels, driven by higher yields. This resulted in US ending stock estimates increasing by 282m bushels to 1,849m bushels, well above the 1,694m bushels the market was expecting. The global balance also saw ending stock estimates for 2026/27 increase from 272.1mt to 280.4mt, leaving it also above market expectations of a little under 274mt. The corn numbers were clearly more bearish than expected, which saw CBOT corn settle more than 4% lower on Friday, taking it well below $5/bu.

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WASDE USDA Speculators Sanctions Russia-Ukraine Middle East Middle distillates Grains Diesel

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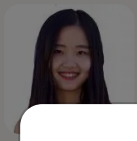
As climate risks have a larger impact on supply chains, the need to finance resilience-building initiatives is increasing. Banks have an important role to play by expanding their financing toolkit, while companies with proactive resilience strategies can gain greater access to capital



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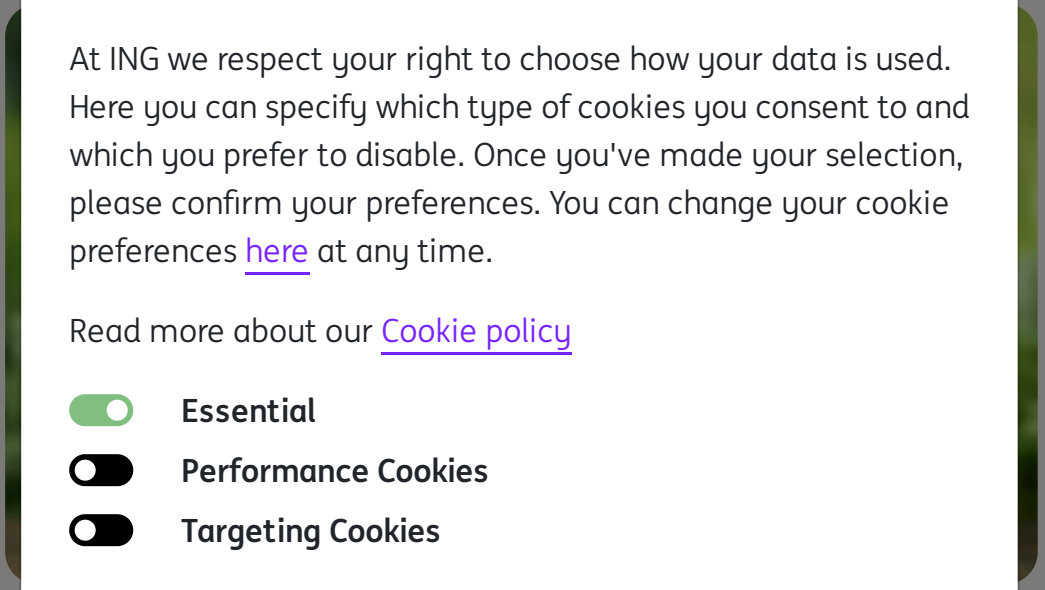

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Climate and weather-related shocks are a growing source of supply chain risk. In August, the Rhine River's water levels hit a record low since 1880, hindering trade flows across Europe. In 2024, Hurricane Helene affected global tech and medical supply chains by flooding key ultra-pure quartz production facilities in the US. The upcoming "very strong" El Niño could substantially disrupt temperature and precipitation patterns across the globe next year, putting, for example, food production and trade at risk.

These events underscore the need to build supply chain resilience. Extreme weather is now a more impactful part of the supply chain

risk landscape alongside geopolitics and other risks.

Yet significant gaps remain. First, while the awareness of supply chain climate risks is rising, many companies have yet to acknowledge their financial materiality. Second, the uptake of financing solutions has not kept pace with supply chain resilience needs, despite trade finance supporting around 90% of global trade. This leaves financial institutions well positioned to expand financing solutions that support corporate supply chain resilience. Below is how they can do it.

Expanding banks' toolkit for supply chain r

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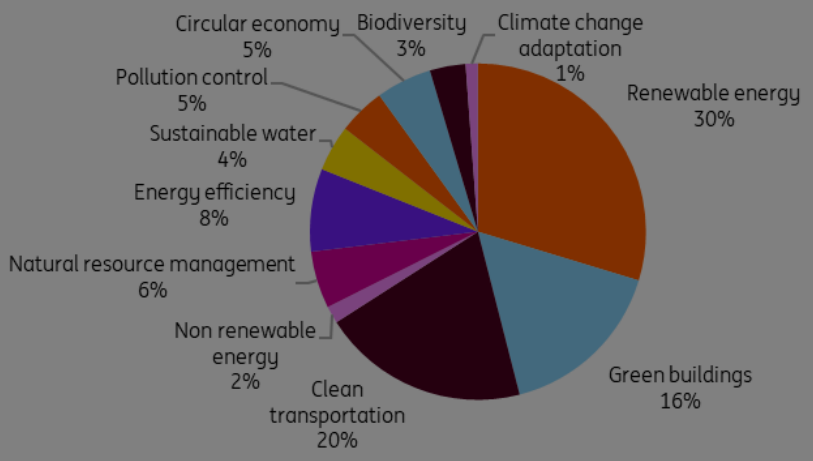
Global green bond use-of-proceeds allocation, January-August 2026



Source: ING Research, BloombergNEF

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- The traditional supply chain and trade finance solutions can be tailored to integrate resilience objectives. For example, guarantees can support cross-border trade in climate-resilient goods, while preferential financing terms can reward companies that actively manage supply chain risks. By incorporating supply chain risk assessments into financing programmes and linking working capital solutions to supplier resilience, these products can help companies better withstand disruptions and support long-term growth.

- **Climate and resilience tech finance**

- Banks can provide financing and advisory services to help scale and deploy technologies that strengthen supply chain resilience. Examples include water management technologies, regenerative agriculture, and indoor farming. These solutions can improve the upstream supply chains of industries such as food, beverage, and hospitality. As interest in resilience technologies grows, financial institutions are increasingly developing tailored financing solutions to support their adoption.

- **Blended finance**
  - Some resilience technologies, projects, and markets may

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As banks work to expand their financing offerings to enhance supply chain resilience, companies would benefit from doing their part as well. My colleague Rico Luman has written about some best practices companies can adopt in their day-to-day operations. These include building up inventory of high-risk supply materials, diversifying suppliers and transport routes, and improving supply chain visibility. Financing solutions that link resilience to working capital, for example, can help companies strengthen these efforts.

Companies can also look beyond day-to-day operations and invest in longer-term resilience initiatives, such as climate-resilient materials, water management technologies, and other adaptation s
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Poland and the Czech Republic will publish final inflation figures next week, alongside current account data

Adam Antoniak and David Havrlant

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The final September CPI reading released on Wednesday should confirm that headline inflation rose to 4% YoY, while core inflation eased, indicating that broad-based inflationary pressure is still absent and price growth remains concentrated in fuels and closely related goods and services. Yet the ongoing energy crisis may trigger a jump in regulated prices for households from the beginning of 2027. The short-term inflation outlook has improved with authorities cutting excise duty and VAT on fuels again, this time until the end of 2026. As a result, headline CPI should run within the 3.5-4.0% YoY range by the end of the year.

August BOP data will also be released on Wednesday. We forecast that in August the current account deficit was slightly higher than €2bn, but slightly lower than in August 2025. As a result, the 12-month rolling current account deficit remains at around 1% of GDP. Growth in exports and imports of goods is expected to have moderated back to a single-digit pace after two months of double-digit expansion in foreign trade growth.

Czech Republic: Final inflation reading and producer prices ahead

The final release on Tuesday is set to confirm September's headline i
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		Wednesday 14 October		
Poland	0830	Sep CPI (MoM%/YoY%)	0.7/4.0	0.7/4
	0900	Aug Current Account (EUR mn)	-2083	-2419
Czech Rep	0900	Aug Current Account Balance (CZK bn)	-14.2	-34.2
		Thursday 15 October		
Turkey	0900	Sep Budget Balance (TRY bn)	-	12.9
	1230	Gross FX Reserves (USD bn)	59.8	61.6
Poland	1300	Sep Core Inflation (YoY%)	3.1	3.3
Croatia	1000	Sep CPI (MoM%/YoY%)	1.0/4.8	0.4/4.2
		Friday 16 October		
Hungary	0730	Aug Average Gross Wages (YoY%)	7.2	7.5
Kazakhstan	0000	Sep Industrial Production (YoY%)	-	1
Czech Rep	0800	Sep PPI (MoM%/YoY%)	0.9/3.4	0.4/2.0

Source: Refinitiv, ING Forecasts

CEE & CCA week ahead

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Rents in Spain

What do high-frequency data tell us about rents in Spain?

This article analyses the recent dynamics in Spain's rental market based on internal CaixaBank data on direct debit payments for residential rents. According to our indicators, annual rent price increases are moderate when there is no change of tenant or landlord, generally lying below 3% and close to inflation, and consistent with regulatory caps. In contrast, the pressure on the price of new rental contracts has increased, closing 2025 with growth in excess of 10% year-on-year. Despite this, the median cost burden remains stable at around 30%, although there is still significant inequality between age groups and greater pressure in large cities.

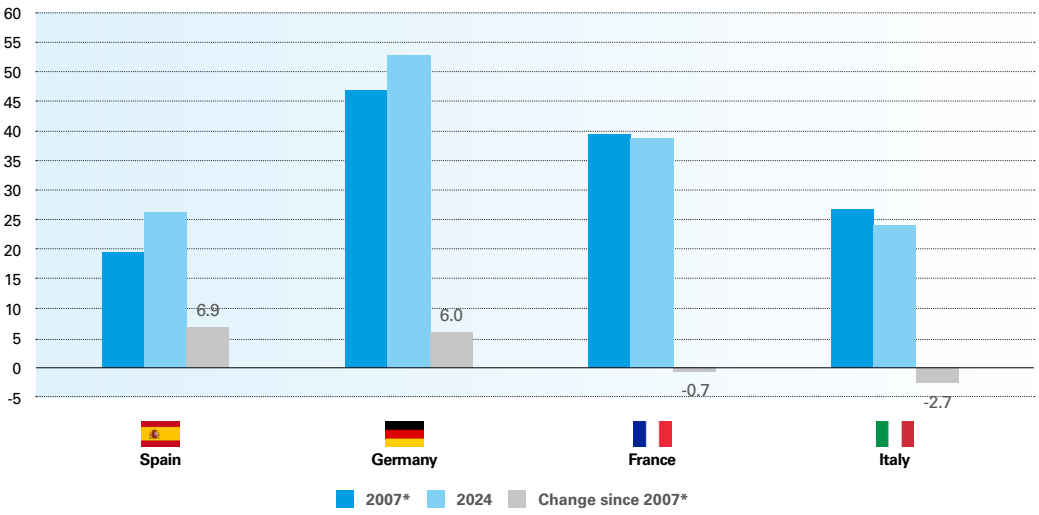
In the last two decades, the proportion of the population that rents their dwelling[6] has increased significantly in Spain. Whereas in 2007 only 19.4% of the population lived in a home that was not their own, by 2024 this figure had risen to 26.3%. This change implies a partial convergence towards the levels observed in the EU, where in 2024, 31.6% of the population lived in rented accommodation.

In this article, we analyse the dynamics of rents in Spain using internal CaixaBank data on rent payments, duly anonymised and aggregated. We analyse the payer-issuer relationships by distinguishing between new rental contracts and existing contracts with rental price updates, allowing trend shifts to be captured more precisely. Using this information, we construct rental price indicators. This approach allows us to complement traditional data sources with high-frequency and granular measures.

(6) A tenant is defined as anyone who does not live in a property which they own.

Proportion of the population that rents

(%)



Notes: Data from 2007 except for Germany. The 2007 figure for Germany is not available, so the figure for 2010 is used.
Source: CaixaBank Research, based on data from Eurostat.

Rents for repeated leases have grown at close to inflation[7]

When analysing the year-on-year change in repeated rents – those where the contractual relationship remains constant (same tenant and landlord) – moderate increases are observed, generally close to inflation.

- The median growth of updated rents remains below 3% in all months between January 2018 and December 2025, reflecting the effect of regulatory limits applied during different periods. During the freeze on rent increases in force during the pandemic, the median was 0%. More recently, it has stabilised at around 2.3%, in line with the current limit for contracts updated according to the housing rent update reference index (IRAV).[8]
- In parallel, the 75th percentile is around 2.9%, consistent with the maximum caps applicable to contracts linked to the CPI.
- In contrast, the 90th percentile shows significantly higher increases, suggesting the presence of specific situations, such as contract renewals or improvement works on flats, where higher increases can occur.

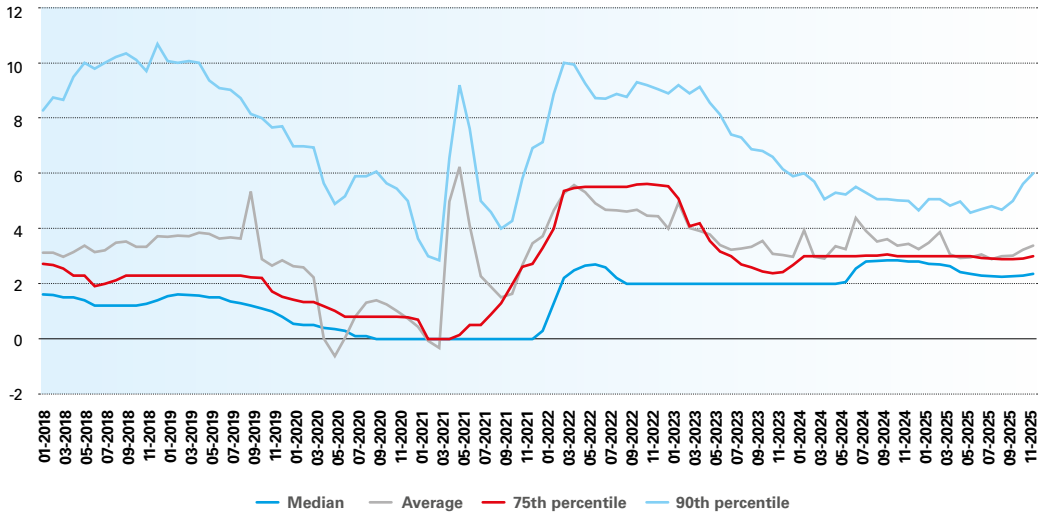
(7) This analysis focuses on rents paid by direct debit, it does not include those paid by transfer or other payment methods. As a result, the sample may be partially biased towards contracts managed by real estate companies rather than individual landlords.

(8) The housing rent update index (IRAV) establishes a formula which sets the upper limit for annual updates to housing lease contracts for rental agreements signed from 26 May 2023 onwards. For contracts signed prior to this date, the price adjustment clause agreed in the contract applies, generally linked to the CPI.

Real Estate

Growth in the price of repeat rentals

Year-on-year change (%)



Source: CaixaBank Research, based on internal data from rent payments.

The pressure on the price of new rentals is increasing

The analysis compares the price of new rental contracts[9] in a given month with that of new contracts signed in the same month of the previous year.[10] Note that, by definition, this does not compare the same rental contracts, as in the case of repeated rents; rather, it analyzes the evolution of the price of the set of new leases signed in the reference month.

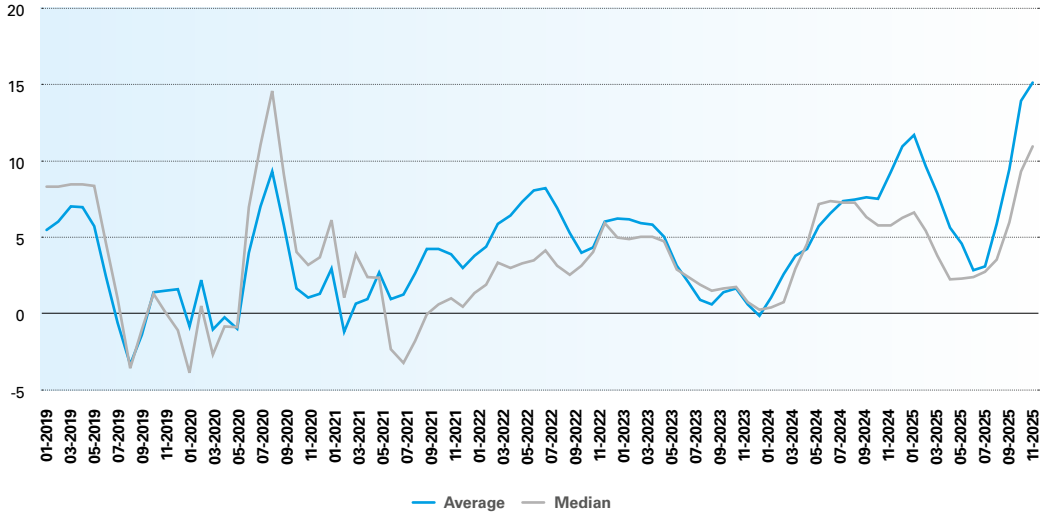
Following episodes of negative growth at the end of 2019 and at the start of the pandemic, prices of newly signed rental contracts have picked up sharply. From 2024, the increases are clearly above inflation, and in the final months of 2025 both the average and the median year-on-year growth rates have exceeded 10%.

(9) **A contract is considered new during the first six months it is observed in our data.**

(10) **There is no information available on the characteristics of the homes, so the comparison may be capturing differences in the characteristics of the properties (e.g. size, location or quality), in addition to real price changes.**

Growth in the price of new rentals

Year-on-year change (%)



Source: CaixaBank Research, based on internal data from rent payments.

The median rental cost burden remains stable[11]

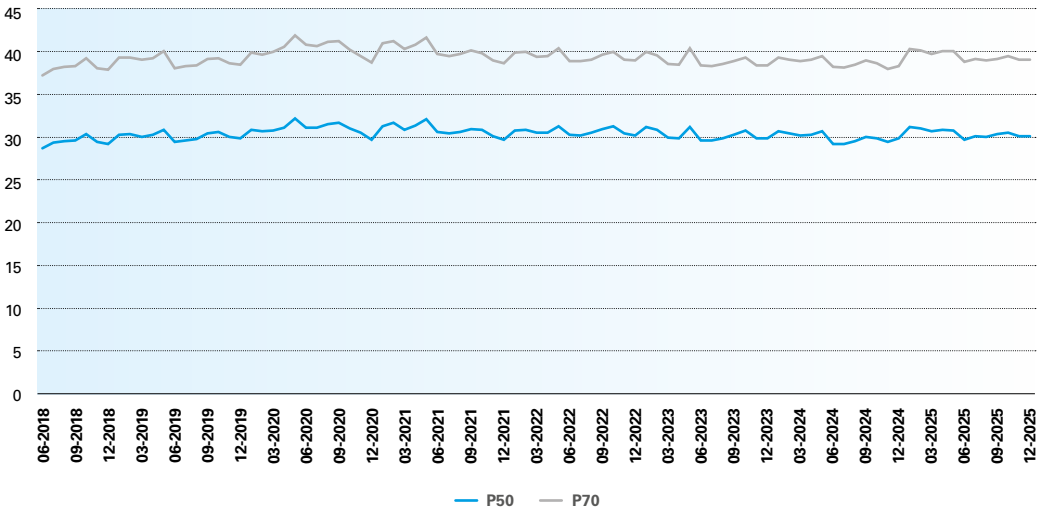
A crucial aspect to consider in the rental market analysis is the cost burden, which measures the percentage of household income[12] that is dedicated to paying rent. This metric shows considerable stability.

- The median of the set of contracts is around 30% for the entire sample.
- However, in approximately 30% of contracts, the burden surpasses 40% (a threshold widely considered excessive), and this proportion changes very little over time.

One factor that may contribute to the stability we observe in the rental cost burden is residential mobility. When faced with contract renewals, some tenants move to a different property in order to maintain a similar level of expenditure, even if it means adjusting to a property with different characteristics (in terms of size, location or quality).

Rental cost burden by percentile

Income allocated to rent (%)



Source: CaixaBank Research, based on internal data from rent payments.

(11) **The cost burden indicators have been validated with other public information sources. Nevertheless, they should be interpreted with caution, especially the values in the tails of the distribution, due to potential measurement issues – e.g. it is possible that the total income of households operating with more than one bank may not be observed, or that there could be cases such as shared rentals that may cause distortions.**

(12) **Income includes wages, unemployment benefits, pensions or other professional incomes of the members of each household. See the CaixaBank Research Real-Time Economics Portal for more information.**

Real Estate

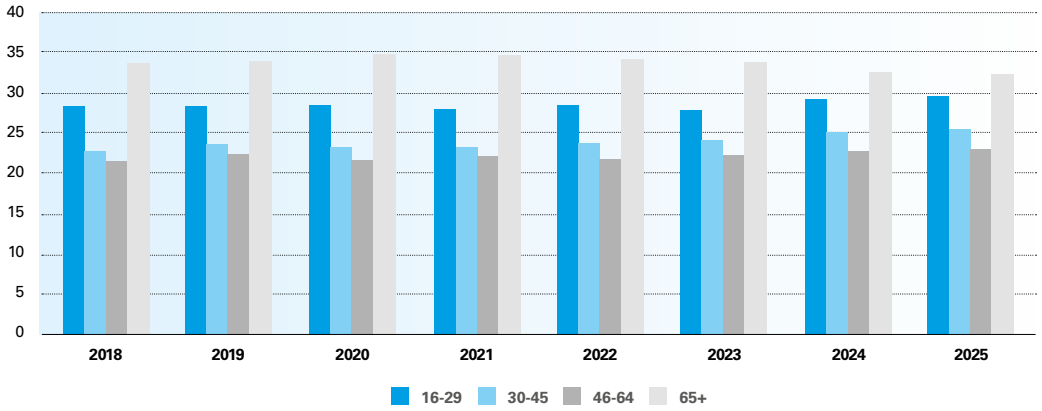
The rental cost burden is uneven across age groups

When breaking down the rental cost burden by age, we see a marked heterogeneity and differentiated dynamics can be observed depending on the point in the life cycle.

- Young people and seniors exhibit the highest median levels of cost burden. However, between 2020 and 2025 the burden among seniors decreases by 1.4 pps, while among young people it increases by 1.1 pp in the same period.
- The increase in the rent burden for the young population is particularly significant, since housing tenure is closely linked to the stage of the life cycle. Younger people tend to rent (or live in rent-free housing), whereas, as age increases, the proportion of homeowners rises sharply, reaching close to 90% among people over the age of 65.
- In contrast, middle-aged cohorts show more restrained cost burdens, generally between 20% and 25%. Even so, the 30 to 45 age group accounts for the largest cumulative increase: +2.7 pps since 2018.

Rental cost burden by age group

Income allocated to rent (%)



Source: CaixaBank Research, based on internal data from rent payments.

Proportion of the population by type of tenure and age in Spain

(%)

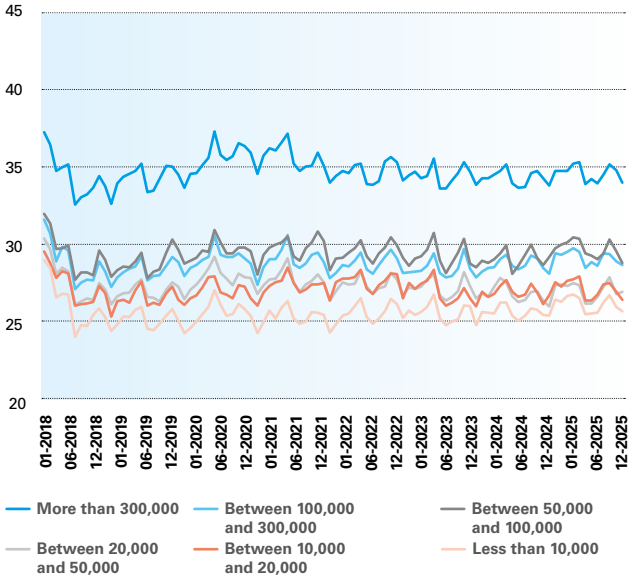
Note: Data from 2024.
Source: CaixaBank Research, based on data from the National Statistics Institute (INE).

The rental cost burden is greater in large municipalities

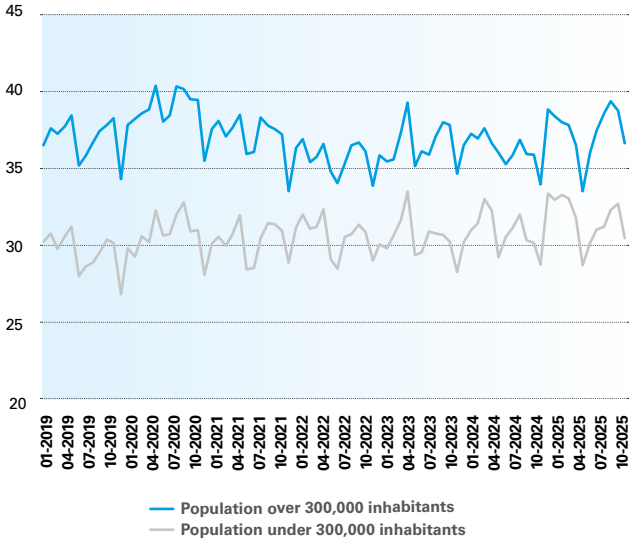
The rental cost burden shows significant geographical differences, both among the set of ongoing contracts and in the case of recently signed contracts.

- In large cities, defined in the sample as municipalities with more than 300,000 inhabitants, the median burden is around 35%, and for new contracts it reaches between 35% and 40%, close to the threshold of excessive burden.
- In smaller municipalities, the burden is lower, generally between 25% and 30%. Even so, in these areas as well, new rentals require a greater effort than existing contracts and stand at around 30%.

Rental cost burden by type of municipality
Income allocated to rent (%)



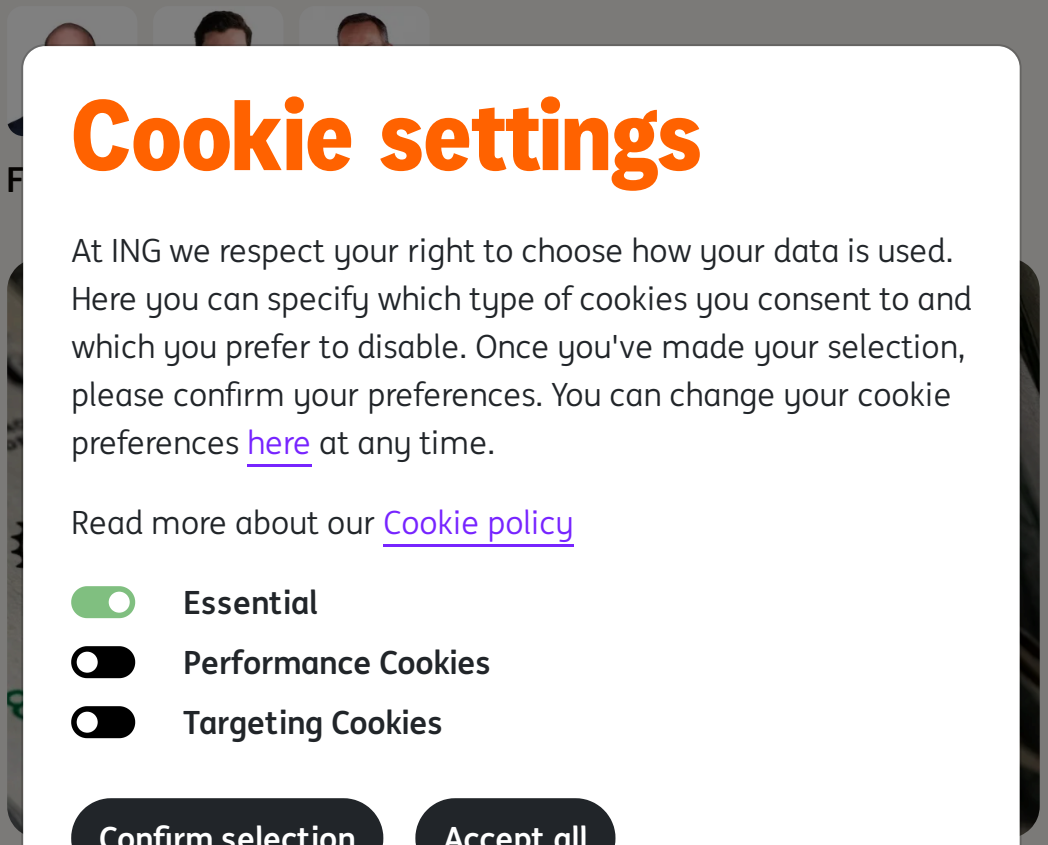
Rental cost burden in new contracts
Income allocated to rent (%)



Source: CaixaBank Research, based on internal data from rent payments.

In conclusion, although the median rent burden remains stable, the rental cost burden is high for young and older people in new contracts and, especially, in large cities. These results highlight the need to expand the housing supply in Spain and to do so in a way that focuses on improving affordability in the most strained segments. An increase in supply with this perspective would help alleviate rental market bottlenecks and reduce their impact on key life cycle decisions – such as education, labour mobility or starting a family – particularly among the most affected groups.

Dollar drops may continue to prove short-lived and quite small in size as bond markets remain fragile and the Fed narrative hawkish. French premium isn't likely to leave the euro very soon, and risks remain of a test of 1.110 in the near term. In Canada, jobs numbers should have improved in September, but an October hike looks premature



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USD: Upside risks persist

The dollar lost a bit of ground yesterday as Treasuries took a breather, but we don't see signs of a broader USD correction brewing. US President Donald Trump has said the US won't attack Iran before the 3 November midterms, but the oil market is reluctant to price out the geopolitical premium that has kept prices above $100/bbl despite improved Gulf supply.

Today, the focus in the US calendar is on the University of Michigan surveys. Inflation expectations are expected to tick higher, while the

sentiment indicator should edge lower. Susan Collins is the only Federal Reserve member due to speak after Alberto Musalem and Christopher Waller reiterated the need to raise rates further yesterday.

With global bonds and risk sentiment still looking fragile, and a hawkish Fed narrative keeping markets convinced of a December hike, we retain a preference for a slightly stronger dollar in the near term.

Francesco Pesole

EUR: Elusive recovery

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CAD: Improved jobs picture, but no October hike

Today, the Canadian jobs report for September is expected to show a partial rebound. Consensus sees payrolls at +10k after August's 42k contraction, and unemployment ticking higher to 6.5%.

The figures shouldn't scream 'October hike', but can definitely consolidate expectations for a move by the Bank of Canada in December, which is fully priced in.

The impact on the Canadian dollar shouldn't be big. CAD has lost around 3% in the past month against USD, but is still in the upper half of the G10 scorecard. US-Canada tensions have been put on the back burner by FX investors, and the USD remains totally dominant in USD/CAD. Improvement in global bond markets remains necessary for the pair to return sustainably below 1.420. The prospect of a Bank of Canada hike can lend some help only on the margin.

Francesco Pesole

CEE: NBP waits a bit longer

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higher energy prices, and risk-off sentiment in the eurozone.

Elsewhere, as expected, the National Bank of Romania kept rates unchanged at 6.50%, and we did not see many new comments in the statement. We continue to monitor political negotiations in Romania. EUR/RON drifted lower yesterday following headlines, suggesting hope for a new government under technocratic leadership backed by the original coalition parties. Nevertheless, EUR/RON remains above 5.340 and significantly higher than the levels seen in late September, when pressure on the currency

began. Should a new parliamentary majority be formed, we expect EUR/RON to stabilise at current levels rather than seeing a leu rally.

Frantisek Taborsky

GDP FX Federal Reserve Eurozone Emerging markets

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The Monetary Authority of Singapore's policy review headlines the week, with modest tightening expected alongside Singapore's third-quarter GDP release. Markets will also focus on China's inflation and trade data, Japan's producer prices and machine orders, and India's CPI inflation

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- The Philippines' inflation battle is far from over
- A tighter RBI, but not a hawkish one
- Taiwan's trade continues to boom as surplus hits another record high

Singapore: MAS expected to tighten policy modestly

The Monetary Authority of Singapore's review will be the key event to watch. We expect a modest tightening via a 'very slight' increase in the slope of the SGD NEER policy band to around 1.5% annual

appreciation, providing additional support for the Singapore dollar amid a challenging external backdrop.

Separately, GDP growth for 3Q should indicate that Singapore growth remains robust, supported by strong industrial production and electronics exports, which continue to reach new highs. Forward indicators continue to remain supportive, suggesting resilient technology demand, while stronger domestic credit growth suggests domestic demand remains strong as well.

India: Inflation set to accelerate sharply

We expect CPI inflation to accelerate sharply to 5.4%, led by food

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Japan will release its PPI data and core machine orders next week. The market expects its PPI to remain elevated at 7.6% YoY, while monthly producer prices are forecast to rise 0.5%, suggesting that upstream price pressures remain firm. Meanwhile, markets expect August core machine orders to rebound by 2.6% month-on-month, with annual growth accelerating to 15.2% YoY, pointing to continued strength in corporate capital expenditure.

Key events in Asia next week

Country	Time (GMT+8)	Data/event	ING	
		Monday 12 October		
India	1830	Sep CPI Inflation (MoM%/YoY%)	5.4	4.8
Philippines	-	Jul FDI (USD bn)	-	0,4
		Tuesday 13 October		
Australia	0830	Sep NAB Business Confidence	-	-8
	0830	RBA Meeting Minutes	-	-
Japan	0750	Sep PPI (MoM%/YoY%)	CF:0.5/7.6	-0.2/7.6
		Wednesday 14 October		
China	0930	Sep CPI (MoM%/YoY%)	-/1.0	0.4/0.8
	0930	Sep PPI (YoY%)	-	3.8
	0700	Sep Exports (YoY%)	24.8	25
	0700	Sep Imports (YoY%)	21.7	28,2
	0700	Sep Trade Balance (USD bn)	118.3	119,1
India	1430	Sep WPI Inflation (YoY%)	11.0	9,9
Singapore	0800	Q3 GDP Flash (QoQ%/YoY%)	5.0	5.9
	0800	MAS Oct Monetary Policy Statement	-	-
		Thursday 15 October		
Australia	0830	Sep Unemployment Rate	4,6	4,6
Japan	0750	Aug Core Machine Orders (MoM%/YoY%)	CF:2.6/15.2	-3.7/11.2
	1230	Aug Industrial Output Final (MoM%/YoY%)	-/-	-1.7/3.4
China	1600	Sep M2 Money Supply (YoY%)	-	7,5
India	1830	Sep Unemployment Rate	-	5
	1930	Sep Imports (USD bn)	-	70,7
	1930	Sep Exports (USD bn)	-	43,8

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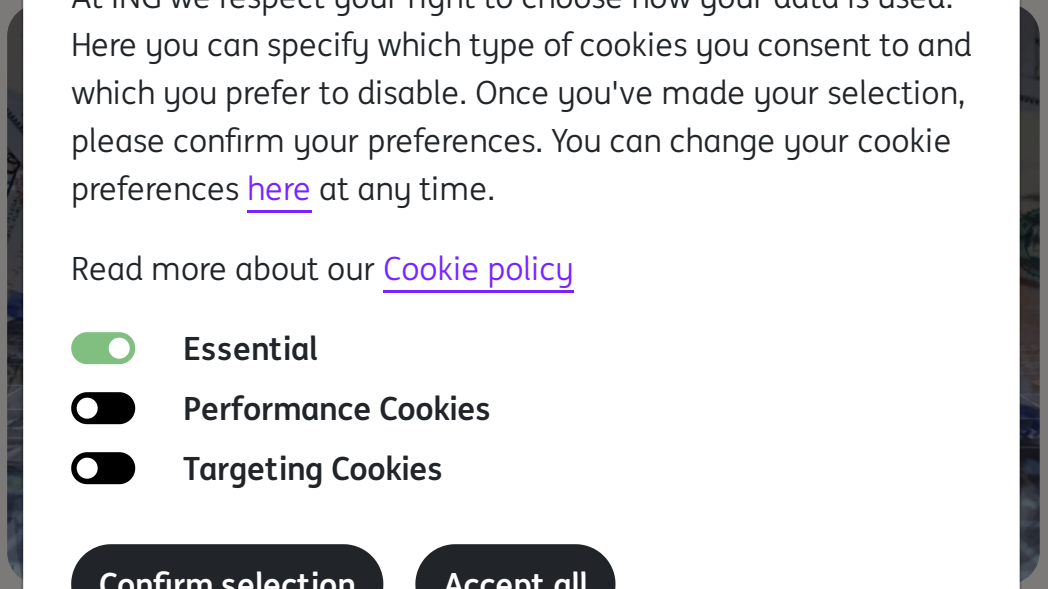
US Treasuries have calmed. But plenty of opportunity and time for markets to (re-)change their tune. Italian bond investors signalled their liking of an electoral reform that would potentially improve governability. We draw the parallel with France, where improved governability is a prerequisite for a material tightening of spreads



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Treasuries sail calmer waters, but we'd not get too comfortable

It's been a good week for US bond auctions. Solid 10yr and 30yr auctions over consecutive days show there is a level where buyers step in. The 30yr auction saw a strong international and domestic bid that took down the paper at secondary market levels, and the previous day's 10yr auction came a tad rich to secondary. The 10yr yield is back below 5.25%, partly a reflection of this, but also reflective of some value hunters generally. It does not mean the

bond market sell-off is over, but it does at least put it on pause, at least just for now.

We also note that Treasuries are holding on to the moderate richness built since the increased long-end-buyback announcement, in the guise of tighter swap spreads; the antithesis of what we saw in France over the past weeks, where swap spreads gapped wider by a factor of at least two. Nothing like that has occurred in the US, as the 10yr yield holds at just under a 40bp spread to 10yr SOFR.

That said, the 10yr swap spread is off its recent lows, and we c
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Italian bonds relatively more.

The outperformance was attributed to the Italian PM Meloni securing the final vote for her electoral reform that would grant any leading coalition with more than 42% of the votes bonus seats to secure stable majorities. It is actually unclear whether she will benefit from this, but the prospect of clearer majorities and better governability is in general a positive for anyone looking for exposure to sovereign risk.

It also highlights what we see as a precondition for any lasting recovery in French bond spreads – political predictability and

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stability. With the two rounds of the presidential elections only in April and May next year, French bond spreads are still looking at more than half a year of higher volatility and continued spread elevation.

Friday's events and market view

It will be another relatively quiet day in terms of macro releases. The only notable data release is the University of Michigan US consumer confidence index. More attention may fall on central bank communication. The ECB's Lagarde will

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Elevated global rates volatility is keeping EGB spreads under pressure, despite European political efforts. With inflation uncertainty likely to persist, a return to the low-volatility conditions that previously supported carry trades and tighter spreads looks unlikely

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Politicians alone cannot tighten EGB spreads

European government bond (EGB) spreads will need more than political willpower to tighten. Compared to the start of this year, we are facing a significantly more volatile global rates environment, which feeds directly into wider EGB spreads. Before the Middle East conflict started in March, financial conditions were very favourable for carry trades. French government bonds were a popular choice for investors, but also Italian government bonds and Spanish government bonds were often part of such trades. Borrow at low

and stable short rates and invest in longer-dated government bonds. A simple strategy which, in leveraged setups, can offer attractive returns. Such strategies helped with the demand for EGBs and consequently tightened spreads.

But rate volatility has spiked over the past few weeks, and this is not just a European story. The 10yr UST yield passing the 5% mark turned US implied volatility higher and this is actually a key driver behind the moves in euro rate volatility. In effect, this means that Europe alone will not have the tools at hand to tighten spreads to earlier lows. A common driver also explains why Italian government bonds witnessed similar sell-offs as their French c

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already struck somewhat more dovish tones by referencing the tightening of financial conditions. There will also be a busy slate of central bank speakers. The ECB's Moulin, Lane and Stournaras will speak. From the Bank of England, Greene, Pill, Lombardelli and Governor Bailey are due to appear. The Fed will field Waller, Kashkari and Musalem.

Headlines could also emerge from the political front. The Eurogroup meeting in Luxembourg is also attended by ECB President Lagarde. Italy should see the final vote on Meloni's election reform.

In terms of data, the only release of note is the weekly jobless claims. The US will auction US$33bn in 30y bonds.

Rates Daily

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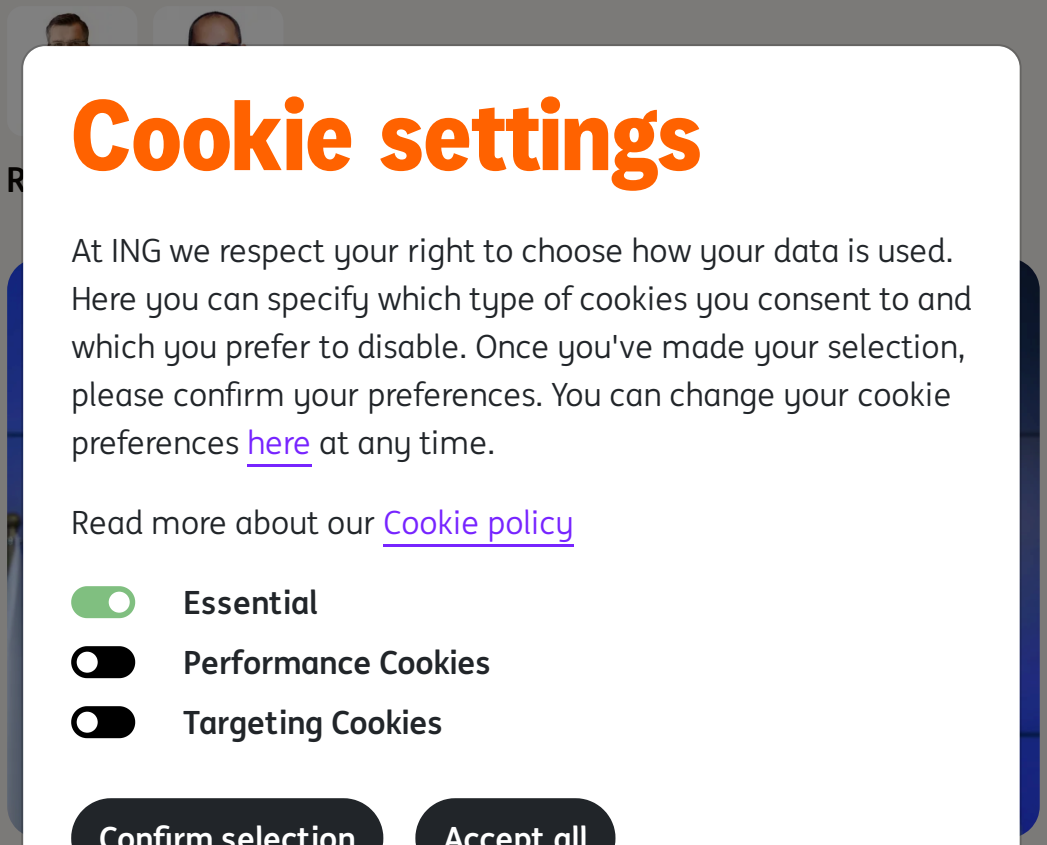
The tone of the NBP Governor's press conference was broadly in line with our forecast, assuming the next hike in first quarter 2027. He recognised rising inflation risks linked to geopolitical tensions and solid domestic demand. There are concerns of higher energy prices feeding into the economy. The central bank appears willing to wait to raise rates



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During his October press conference, National Bank of Poland (NBP) Governor Adam Glapiński highlighted growing risks to the inflation outlook. At the same time, however, he stressed that the rise in prices so far has been driven by an external supply shock and that there is little evidence of higher energy costs spreading broadly to the prices of other goods and services.

Global sources of inflation

Explaining the rationale behind the October decision to leave interest rates unchanged, NBP Governor Adam Glapiński stressed that the global economy is facing an energy shock resulting from the conflict in the Middle East. The conflict is becoming more protracted, and its inflationary effects are intensifying. Polish inflation rose above the upper bound of the NBP's tolerance band around its target in September (2.5%; +/-1 percentage point), but it should return to that range in October.

Local inflationary factors are in play

In the governor's view, the inflation outlook is subject to greater u
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He therefore reiterated that the main Monetary Policy Council (MPC) objective is to prevent higher fuel prices from spilling over into other prices across the economy.

Inflation still primarily driven by a supply shock, no second-round effects

Balancing the risks outlined above, the MPC chairman also emphasised that almost all the increase in inflation to date has resulted from higher fuel prices. In September, energy accounted for 60% of inflation, while the pass-through from energy prices to

other prices has remained limited. The increase in core inflation excluding food and energy since the beginning of the year has been modest, and core inflation probably edged down slightly in September. There are also currently no signs of second-round effects.

Monetary policy guidance

Future central bank decisions will depend on incoming data and the shape of the November macroeconomic projection. Governor Glapiński does not currently see a need for an interest rate increase at the next meeting in November, although he did not rule one out e… m ri…

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We see a risk of a modest increase in core inflation around the turn of 2026-27, which in our view would warrant a precautionary rise in interest rates.

Poland interest rates | Poland interest rate decision | National bank of poland press conference

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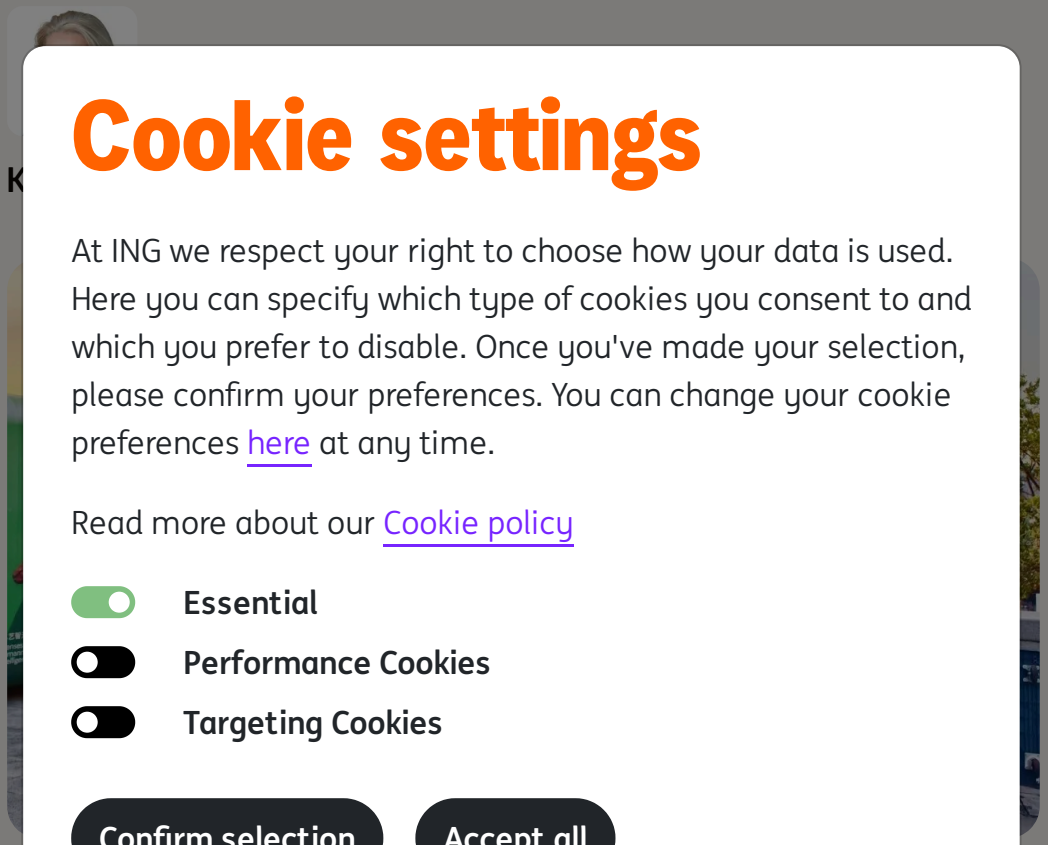
Agentic commerce, where autonomous AI agents independently select and purchase products on behalf of consumers, is forcing retailers to rethink their role. As AI takes over more of the buying process, physical stores are evolving from a sales channel into a destination for advice, service, experience, and omnichannel support



how consumers shop

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Agentic commerce fundamentally changes the buying process

Retail is entering a new phase of digital disruption. E-commerce has already transformed *where* consumers shop; agentic commerce is set to change *how* they shop. Autonomous artificial intelligence agents can search, compare and purchase products on behalf of consumers, shifting shopping from an active task to an increasingly automated background process.

Agentic commerce goes beyond AI assistants and comparison websites

Key differences between agentic commerce, AI assistants (such as ChatGPT and Gemini) and comparison websites

	Agentic commerce	AI assistants	Comparison websites
Role in customer journey	Actively manages parts of the customer journey	Provides information and recommendations	Helps consumers compare products and prices
Degree of autonomy	High: can execute tasks independently	Low to medium: provides recommendations	None
Decision-making role	Makes decisions	Decisions remain with	Decisions remain with

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optimal time to buy.

Adoption is likely to be slower for luxury, trend-sensitive and experience-driven products. In these categories, inspiration, emotion, and personal preference remain central to the purchasing decision, making consumers less inclined to relinquish control. AI agents can assist by pre-selecting products that match predefined preferences, but final purchasing decisions are likely to remain firmly in the hands of the consumer.

Consumer electronics and personal care lead the adoption of agentic commerce

Within non-food retail, agentic commerce appears particularly well suited to consumer electronics and personal care. Both sectors are characterised by a high degree of product standardisation and a large share of repeat purchases, making them ideal candidates for AI-driven purchasing.

In consumer electronics, purchasing decisions are often based on objective and easily comparable criteria, including price, technical specifications, and availability. This makes products such as t
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Product categories most and least suited to agentic commerce

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Segment	Suitable for agentic commerce	Products most suited	Products least suited
Consumer electronics	High	Standardised products with clearly measurable specifications.	Hobby-related products and more complex products that require expert advice
Personal care	Medium to high	Routine and repeat purchases	New product launches, fragrances and highly personal products
Fashion	Medium	Basic apparel (t-shirts and socks)	Trend-driven and luxury fashion items
Home furnishings	Medium	Functional furniture, replacement purchases, and products with clearly measurable features.	Trend-driven products, customised products, and decorative items

Source: ING Research

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Chinese platforms lead adoption

Agentic commerce creates the greatest opportunities for large global marketplaces and technology companies. These players combine vast product assortments with the scale, data and infrastructure needed to deploy AI agents effectively. Their integrated ecosystems, including payment solutions, logistics networks, and data platforms, enable them to integrate AI agents into their business operations faster and more effectively.

Chinese platforms such as Alibaba and JD.com currently lead the way, with AI agents already deeply integrated into their respective platform networks. These agents can not only provide product

recommendations but also complete purchases autonomously. Meanwhile, US technology companies including Amazon, Google, Meta, OpenAI and Anthropic are investing heavily in the development and rollout of AI agents, intensifying the global race for leadership in this emerging market.

European players are structurally lagging behind their American and Chinese competitors. Stricter regulation and less integrated platform networks limit their ability to bundle scale, data and services. While Zalando is among Europe's frontrunners in AI-powered retail, its applications are currently focused on product discovery, comparison, and selection. Fully autonomous p

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their role is changing

How will the role of the physical store evolve in an AI-driven retail landscape?

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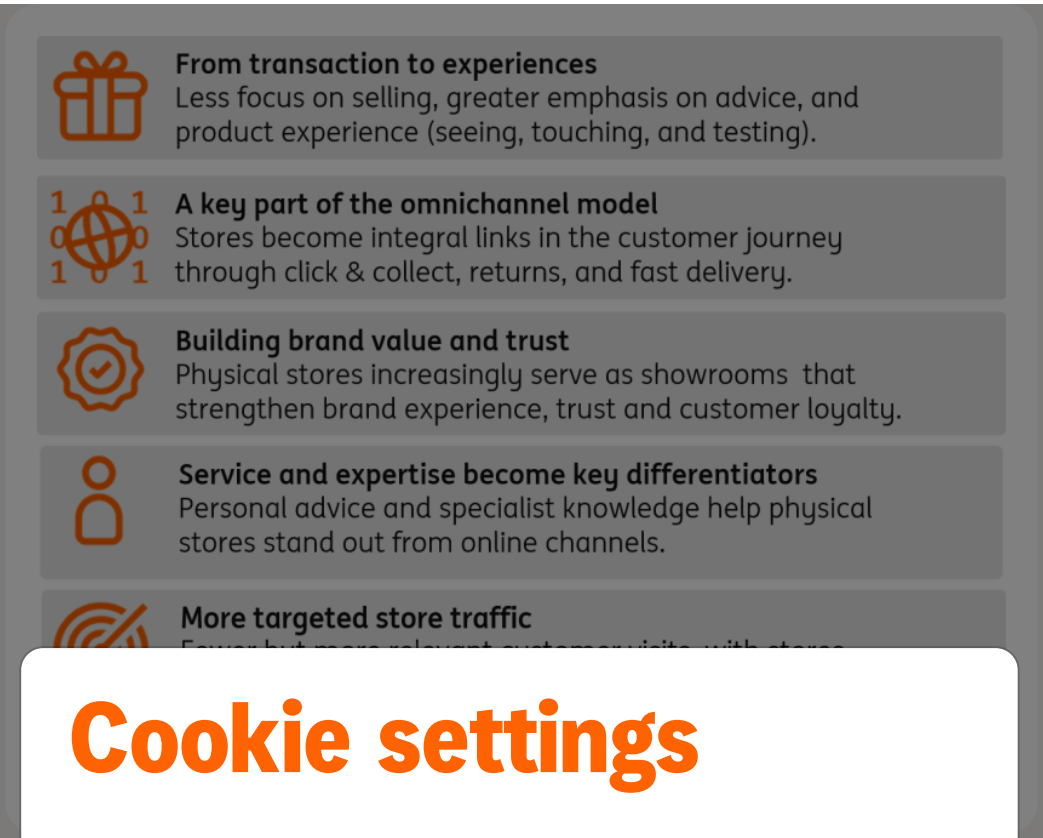

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Retailers that successfully integrate their physical and digital channels, define clear roles for their stores, and deploy technology strategically can strengthen their position within the customer journey. In a future shaped by AI-driven commerce, their role will increasingly centre on adding value where automation cannot.

Retail | Consumption | AI

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Crude tanker rates have hit all-time highs amid the prolonged Iran war and Strait of Hormuz disruption. Restructured oil flows and a rush for capacity to handle oil transport operating under military protection have driven rates sharply higher, adding further pressure to fuel prices alongside strong refinery margins

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Tanker shipping thrives in risky waters amid a continued capacity squeeze

Oil tanker markets sit at the centre of geopolitical turmoil, and this year that has translated into record-breaking freight rates as the conflict in the Middle East drags on. Tankers have been caught up in sanctions regimes and repeatedly targeted in key shipping lanes, including the Strait of Hormuz, Bab al-Mandeb and the Gulf of Aden.

At the same time, demand for tanker capacity has surged as traders seek alternative routes and sources of supply, including

increased shipments from the US. The opening of a protected corridor through Omani waters has enabled additional crude exports and vessel movements, but has also placed further strain on an already stretched market. Shuttle services now operate around the Strait of Hormuz, with under the radar activity and ship-to-ship transfers taking place outside the chokepoint.

The conflict and tanker seizures in the Persian Gulf erupted at a time when the market was already facing a shortage of capacity. New deliveries of crude carriers slowed sharply following a record-low order book in 2022-23, while an increasing number of older and smaller vessels joined Russia's shadow fleet, further reducing the p

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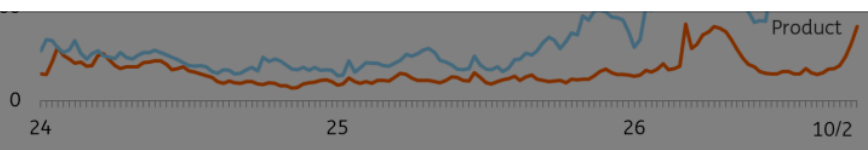

Source: Clarksons, ING Research

Crude tanker earnings rose tenfold on rush for capacity

The capacity squeeze, combined with operating in risky war zones and facing highly elevated insurance premiums, has sent tanker rates soaring. We have seen previous surges in this volatile market,

such as in 2022 after sanctions were placed on Russia, but this spike is beyond levels ever seen before.

Average global crude vessel earnings exceeded an unprecedented level of $500,000 per day, 10 times the 2025 average, in early October. For Suezmax tankers and very large crude carriers (VLCCs, with a maximum capacity of 2m barrels) alone, rates surged even beyond that. Crude shipments from Ras Tanura in Saudi Arabia to Rotterdam made up about $2/bbl in 2025; in September, this surged beyond $35. Combined with high refinery margins (the current crack spread of diesel in Europe is about 2.5 times the 2025 average), this could add over $0.50 to the base price of a litre of d

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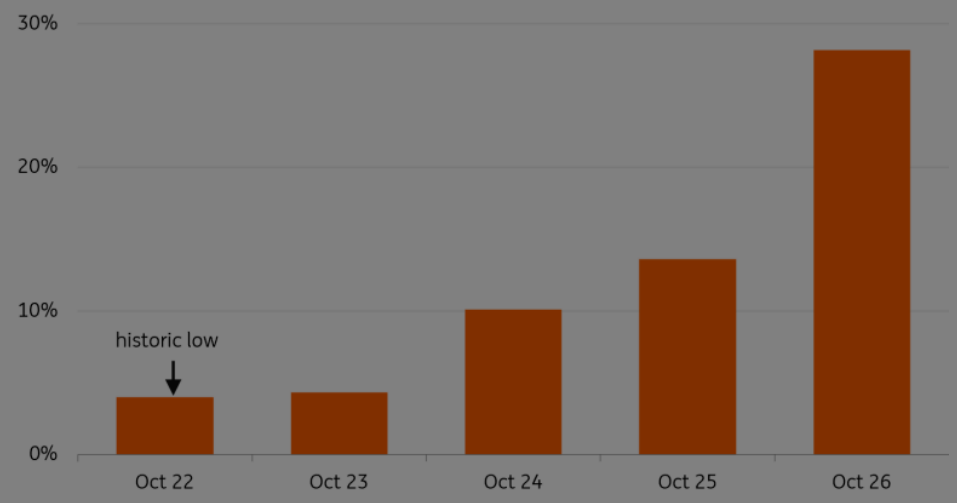

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delivered in 2028-29, likely after the current boom ends. It's all about geopolitics and how the Middle East conflict evolves, but tanker markets could still see a solid 2027.

Tanker | Shipping | Oil prices | Oil demand | Hormuz | Fuel | Diesel

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France's National Rally, led by Marine Le Pen, is promising €136bn in annual savings and aims to bring public spending below 50% of GDP by 2032. Although the plan acknowledges the need for fiscal consolidation, many of the projected savings appear difficult to deliver

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As discussed in our previous article, the government's proposed budget would limit the deterioration in the public finances in 2027, but it would not stabilise the debt ratio or provide a lasting solution. Attention is therefore increasingly turning to the fiscal policies that could follow the presidential election. With the National Rally (RN) currently well ahead in first-round polls, its programme matters not only as an opposition proposal, but as a possible framework for policy after 2027.

Figures that are often difficult to justify

The programme's detailed breakdown is an improvement on previous proposals and confirms that the National Rally recognises the need for fiscal consolidation. However, several measures lack a clearly defined base or mechanism, or depend on legal changes and international agreements.

Fraud estimates illustrate the issue. The programme assigns €18bn a year to a new VAT collection mechanism, although the total VAT gap is estimated at €9bn to €15bn and includes errors, omissions and bankruptcies, not only recoverable fraud. Other figures are similarly uncertain. The plan projects €4.2bn in annual savings from an unspecified reform of short-term Treasury bill

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from tightening the contribution period required to validate a quarter, which it says would offset the €10bn cost of lowering the retirement age to 60 or 62. Independent estimates, however, put the cost of the age change alone at €25bn to €35bn per year.

Overall, some savings appear plausible, but not all of them and the largest items are also the least well documented. This matters all the more because the RN's plan combines fiscal consolidation with €69.3bn of tax cuts and new spending in 2027 alone. This includes €53.2bn in revenue cuts, notably lower taxes on energy and essential goods and the removal of several production taxes, as

well as €16.1bn in new expenditure. Delivering a large improvement in the fiscal balance while financing measures of this scale therefore requires the savings and additional revenues to materialise rapidly and almost in full.

Overly optimistic macroeconomic assumptions

The programme's main weakness, however, lies in the macroeconomic framework into which it is incorporated. Almost half of the adjustments would be delivered in 2027, with a net improvement in the fiscal balance of around €66bn in a single year. F
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several percentage points of GDP. Part of the initial savings would then be partially offset by lower tax revenue and higher social expenditure.

At the same time, the programme assumes that tax cuts, purchasing power measures and competitiveness reforms would add 2.8 percentage points to cumulative growth over five years (2027-32). After a contractionary effect of only 0.5 points, this produces a net gain of 2.3 points over five years. This is an unusually favourable combination of small and short-lived fiscal costs with large and rapid supply-side benefits.

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The interest-rate assumptions are also favourable. The programme assumes an average refinancing rate of 4.5% in 2026 and 2027, falling to 3.8% from 2028. It also assumes that restored fiscal credibility will reduce the OAT-Bund spread to between 40 and 50 basis points, lowering France's financing costs by 90 basis points. However, such an improvement would not be automatic. It would depend on the government's ability to secure approval for the programme and implement it, its relationship with the European Union, the response of economic growth and the broader interest-rate environment.

Le Pen also said that France should enter into discussions with the E

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would not generate the required savings by itself. Its effectiveness would depend on its legal design, approval and enforcement, as well as on the government's ability to adopt measures consistent with the rule.

A trajectory subject to substantial delivery risks

Overall, the document sets out a sizeable fiscal consolidation objective and identifies a broad range of potential savings. Nevertheless, the plan in its current form would probably not be

sufficient to resolve France's public-finance challenges. A significant share of the announced savings is unlikely to be realised in full or within the stated timeframe, owing to legal, institutional and implementation constraints as well as the macroeconomic effects of the adjustment. The resulting improvement in the fiscal balance would therefore probably be smaller than projected, especially as the RN's plans also incorporate additional spending.

Public finances | Presidential elections | France | Eurozone | Deficit | Budget

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Probably 20% of the total influence. And of that, 70% reflects productivity and 25% is AI issuance. It's a view based absolutely on what the numbers say, but in the end it's a judgement call (as objective as doable, overlaid with a large dollop of subjectivity)

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The spending piece has a small, but not an inconsequential impact

There are three basic AI components to account for, namely:

1. The spending piece,

2. The capital markets piece, and

3. The productivity piece.

The spending piece is relatively straightforward, as it's a straight accounting in GDP. My colleague James Knightley has dealt with

this in detail here. Basically, AI accounts for a third of current economic growth. The link here with rates is the tendency for higher growth to be loosely associated with higher rates. However, given that the economy outside of AI is less dynamic, the AI piece is more of a filler than anything else.

The capital markets issuance piece has a more pursuasive impact

The capital markets piece is more complex. ING's Jan Frederik Slijkerman did a deep dive into this space recently; it's here. For 2026, he identifies TMT as a meaningful driver of additional

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to-date issuance in maturities of 17 years and longer totals US$235bn, making it the largest maturity bucket, ahead of 9–12 year tenors (US$219bn).

Equivalent issuance along the 10yr to 30yr part of the US Treasury curve sums to US$340bn. That's unchanged versus the previous year. If we factor in buybacks, they are running at some US$20bn above last year. So the swing factor from a US Treasuries perspective is an effective reduction in net issuance of the aforementioned US$20bn. Contrast that with long-dated

investment-grade corporate issuance, which is running up US$55bn compared with last year.

Adding the two together, we have an overall 'delta' of some US$75bn (calculated as a US$55bn increase in corporate long-dated issuance versus a US$20bn increase in long-end Treasury buybacks for 2026). In other words, long-dated issuance pressure has been skewed towards corporates and away from US Treasuries. We'd not consider this in any way destabilising. But it's absolutely a factor to take into account.

Long-dated corporate supply surges, led by T

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It's always difficult to put a basis point implication of this on long dates, but it's tough to argue that this is not a contributing factor. Even with less corporate issuance outside the AI space for 2026, aggregate corporate issuance is still well up, and with a longer duration tilt to boot. These AI-spend players have also chosen to issue bonds in place of bank borrowing in order to get the required size and duration. The bank avenue would have meant banks' funding is much shorter (traditional bank duration mismatch). Bank lending is up, but nowhere near the same scale of the increase in

bond issuance. So, either way, back ends are feeling more pressure than they would for long-dated funding.

That all being said, the market has remained quite receptive to AI and wider corporate issuance. New issue premiums have tended to be higher for longer duration / AI-related issuance, but in the 10bp area they are far from tipping the long end over the edge.

The productivity piece pushes in the same direction, but more mythical in nature

The productivity revolution that AI promises should enhance the p
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yield is 2.9%. And the 10yr nominal yield is at 5.2%. So we're still at least 100bp below the levels we saw back in 2000. Whether we like it or not, rises in real yields for productivity reasons should be construed as higher yields for 'positive' reasons.

A suggested breakout of influences from AI

Here's a suggested breakdown of the pure AI impact.

1. About 5% from the spending piece

2. About 25% from the issuance piece

3. About 70% from the productivity piece

But we can't leave it here, as AI is not the only influencer for long-dated rates. In fact, we'd argue that two other drivers – inflation and fiscal deficits – have been more impactful.

It's far from all about the AI impact, as holistically we have inflation and fiscal deficit factors too

It's tough to paint a picture of long rates without

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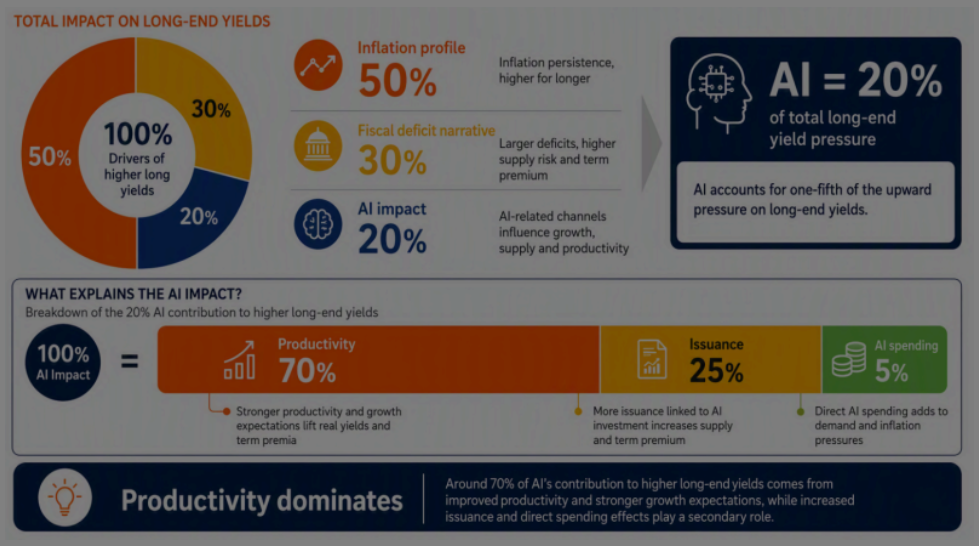
developed markets back into inflation generation capability, and the Iran war and energy price spikes have juiced things up again. At the same time, where we are now for the US long yields is no more than a return to slightly above normal, by about 50bp in the 10yr. See more here on what that is all about. Ahead, we have inflation remaining sticky to the upside for 2026, before easing lower for 2027.

What's driving higher long-end yields?



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inflation) was 4.4%, and nominal GDP rose by 6.6%. The current 10yr yield at 5.2% is not out of kilter with that. For more on the prognosis ahead, see here and here.

Supply | Interest rates | AI

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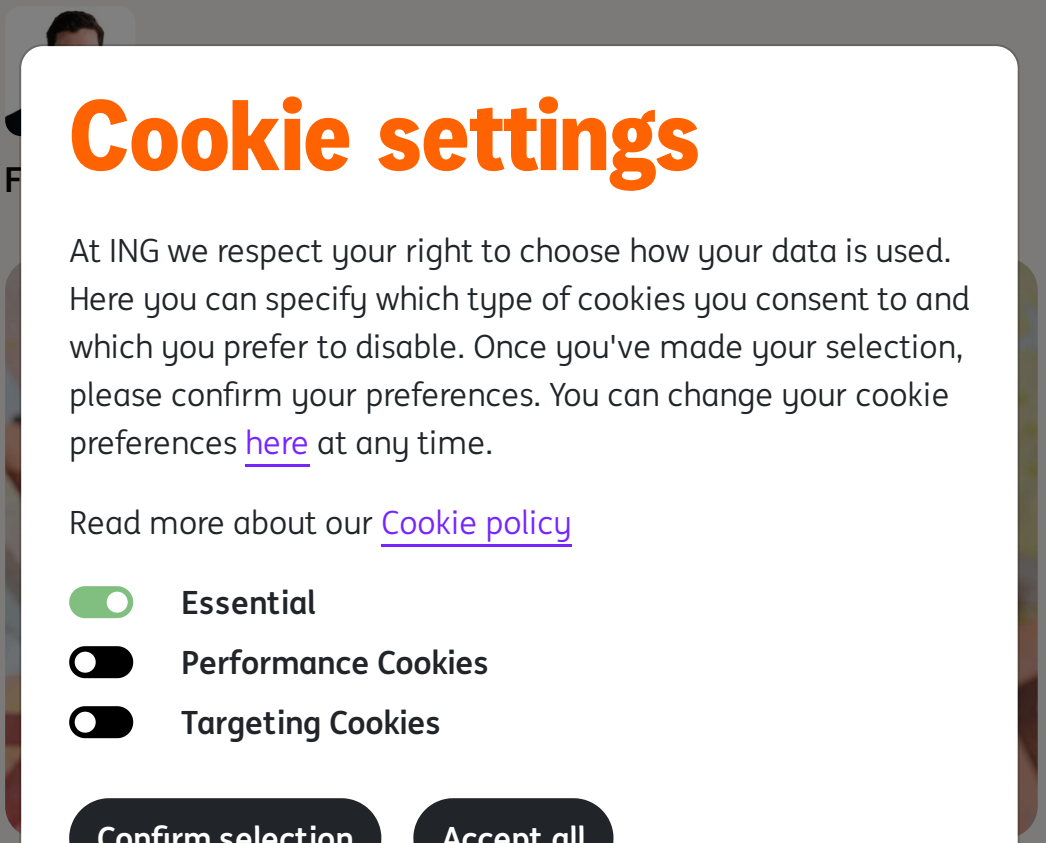
History suggests that the euro's correlation with eurozone spread widening can pick up rapidly. Today's budget announcement in France leaves OATs at risk of further underperformance, and a so far resilient EUR/USD may be looking at material downside risks if things don't improve. EUR/CHF is facing similar depreciation potential



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FX spillover from France is starting

This morning's market chatter is increasingly focused on widening eurozone spreads finally spilling over into the euro, with the French-German 10-year spread reaching 130bp.

Both EUR/USD and EUR/CHF have moved lower today. The latter is providing the clearest signal that bond market stress is feeding into FX. The dollar continues to benefit from broad-based support, driven by tighter global financial conditions, elevated energy prices

and a hawkish Fed. Instead, the Swiss franc's momentum was bearish until this morning, with a dovish surprise last week by the Swiss National Bank weighing on the currency.

Our colleagues analyse today's budget announcement in France in this note. ING's view is that this budget buys some time but fails to solve structural deficit issues. Markets still have little incentive to price fiscal premia out of OATs, and with no party having presented a sufficiently detailed spending cut plan, the upcoming elections are adding to the uncertainty. Our rates team believes 150bp may be the next step for the 10yr OAT-Bund spread.

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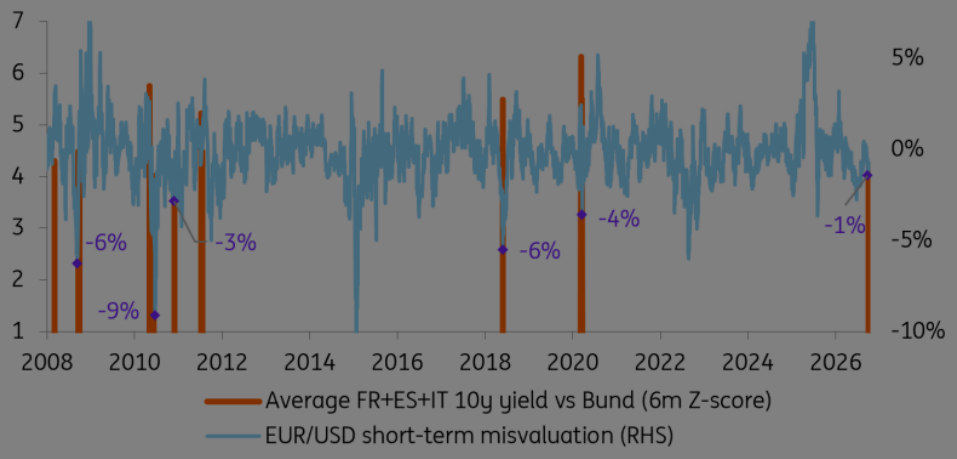
The euro's reaction has been contained compared to past episodes



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fiscal risk, and we could see further downside there too. Still, the franc's idiosyncratic fragilities may get in the way, meaning we don't expect CHF to outperform USD materially purely on the back of the French story. A drop to 1.110 in EUR/USD could equal a move to roughly 0.920-0.925 in EUR/CHF.

FX Euro

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